

SHANGHAI PUDONG DEVELOPMENT BANK CO., LTD.

HONG KONG BRANCH (“SPDBHK”)

FINANCIAL INSTITUTION DUE DILIGENCE QUESTIONNAIRE

Name of Financial Institution	
Name of License or Certificate	
No. of License or Certificate	
Address of Incorporation	

Address of Principal Place of Business	

I. Jurisdictions

1.1	Jurisdiction of incorporation/registration of your institution
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1.2	Jurisdiction of parent company or head office of your institution (if applicable)	
1.3	Are there any legislated laws or regulations on Anti-Money Laundering and Counter-Financing of Terrorism (“AML/CFT”) in the jurisdiction(s) where your institution is incorporated/registered?	☐ Yes ☐ No
	If yes, do your overseas branches (if applicable) abide by laws and regulations of the jurisdiction where your head office is incorporated?	☐ Yes ☐ No
1.4	Is the jurisdiction(s) that your institution is incorporated/registered a member of the Financial Action Task Force (“FATF”)?	☐ Yes ☐ No
	If no, does the jurisdiction(s) concerned comply with the Recommendations ¹ issued by the FATF?	☐ Yes ☐ No

¹ The FATF Recommendations:
<https://www.fatf-gafi.org/en/publications/Fatfrecommendations/Fatf-recommendations.html>

II. Ownership and Management Structure

[illegible]

2.3	Are there any shareholders, BOs or senior management identified as a Politically Exposed Person (“PEP”)?	☐ Yes ☐ No
	If yes, please provide name, date of birth, gender and role of the PEP(s).	
2.4	Describe the structure and staffing of the Financial Crime or AML and Sanctions Department.	

2.5	To whom does the Head(s) of Financial Crime/ AML/ Sanctions Department(s) report to?

III. Business and Product

3.1	Please select the key business areas of your institution.	☐ Retail Banking ☐ Commercial Banking ☐ Private Banking ☐ Investment Banking ☐ Financial Markets Trading ☐ Securities Services/Custody ☐ Broker/Dealer ☐ Multilateral Development Bank ☐ Money Changing/Remittance Service ☐ Stored Value Facilities ☐ Others (Please specify: _____)
3.2	Purpose of establishing / maintaining relationship with SPDBHK	☐ Deposit ☐ Remittance ☐ Trade Finance ☐ Custody ☐ Banknotes Trading ☐ Others (Please specify: _____)
3.3	Does your institution have a significant number of offshore customers (10% or more)?	☐ Yes ☐ No
	If yes, please indicate the jurisdiction(s) of main overseas clients.	

3.4	Does your institution provide occasional transaction service to walk-in customers or non-accounts holders?	☐ Yes ☐ No
	If yes, does your institution perform Know-Your-Customer (“KYC”) procedures on these customers?	☐ Yes ☐ No
3.5	Does your institution establish or maintain business relationships with the customers of these types?	☐ Embassies, consulates and other diplomatic bodes ☐ Non-banking financial institutions ☐ Professional service providers including but not limited to accountant, lawyer, investment consultant or other people acting in the capacity of financial intermediary ☐ Non-government organizations or non-profit social organizations ☐ Cash-intensive industries ☐ Foreign natural persons, overseas institutions or offshore clients ☐ Money Service Operator ☐ Cross-border e-commerce ☐ Jewelry or precious metal sellers ☐ Gambling websites ☐ Casinos or entities involved in gambling activities ☐ Correspondent banks ☐ Internet currency exchangers ☐ Politically exposed persons (PEPs) ☐ Private banking clients ☐ Shell companies/banks ☐ Customers conducting transactions in a non-face-to-face fashion ☐ Customers involving virtual assets/digital currencies
3.6	Does your institution offer Payable Through Accounts (“PTA”)?	☐ Yes ☐ No

3.7	Does your institution allow the opening of anonymous or numbered accounts by customers?	☐ Yes ☐ No
3.8a	Does your institution intend to offer correspondent banking services to other <u>foreign</u> financial institutions (i.e., nested relationship) through your account at SPDBHK?	☐ Yes ☐ No
3.8b	Does your institution intend to offer correspondent banking services to other <u>local</u> financial institutions (i.e., nested relationship) through your account at SPDBHK?	☐ Yes ☐ No
	If yes, please provide detail information of the nested relationships (both foreign and local financial institution), including but not limited to number, name, jurisdiction and length of relationship etc.	

IV. Regulatory Status and History

4.1	Please provide full name(s) of regulatory authorities in relation to AML/CFT that your institution is subject to supervision.	
4.2	Has your institution received any public reprimands / administrative or criminal penalties due to AML/CFT deficiencies by regulatory authorities in the last 5 years?	☐ Yes ☐ No
	If yes, please provide the relevant information.	

4.3	Is your institution required to report large amount transactions to the regulatory authorities?	☐ Yes ☐ No
4.4	Is your institution required to report suspicious transactions to the regulatory authorities?	☐ Yes ☐ No

V. AML/CFT Related Controls

Customer Due Diligence

5.1	Does your institution have formal policies and procedures in place to manage risk of AML/CFT?	☐ Yes ☐ No
	If yes, please provide such documents.	
5.2	What risk factors are taken into consideration by your institution when performing customer risk assessment ("CRA")? What is the frequency of CRA?	
5.3	Does your institution apply enhanced due diligence ("EDD") and transaction monitoring on high risk customers?	☐ Yes ☐ No

	What additional due diligence requirements are placed on high risk customers and what level of approval is required for such customers?	
5.4	Does your institution have specific risk assessment procedures in relation to PEPs?	☐ Yes ☐ No
	What additional due diligence requirements are placed on PEPs and what level of approval is required for such customers?	

Transaction Monitoring (“TM”)		
5.5	Does your institution have formal procedures in place to monitor and report large amount transactions and/or suspicious transactions/accounts?	☐ Yes ☐ No
5.6	Does your institution have an information system for transaction monitoring?	☐ Yes ☐ No
	If yes, please provide details of the TM system (system name and system vendor).	
5.7	What are the average numbers of alerts generated by the TM system on monthly basis?	

5.8	If there are any identified potential suspicious transactions processed through the account maintains with SPDBHK, would these be highlighted to SPDBHK?	☐ Yes ☐ No
Customer & Transaction Screening		
5.9	Does your institution screen your customers and transactions against the lists of individuals/entities/countries that have been sanctioned by the U.N., China, U.S. and E.U. etc.?	☐ Yes ☐ No
5.10	Please provide details of the sanction screening system (system name and system vendor).	
5.11	Does the screening cover all incoming and outgoing payments and SWIFT messages? Is the screening performed on a real-time basis?	☐ Yes ☐ No
5.12	Does your institution rescreen all your customers on regular basis?	☐ Yes ☐ No

	If yes, provide details of the same and the frequency.	
5.13	Does your institution conduct negative media screening on your customers on regular basis?	☐ Yes ☐ No
	If yes, provide details of the same and the frequency.	

Record Keeping, Training & Others		
5.14	Does your institution have formal policies and procedures regarding record keeping of customers and transactions in compliance with local regulatory requirements?	☐ Yes ☐ No
5.15	What is the retention period for customer's identification document and transaction records?	
5.16	Does your institution provide AML/CFT training to employees annually?	☐ Yes ☐ No
5.17	Has your institution been audited by an independent party in relation to AML/CFT controls?	☐ Yes ☐ No
	If yes, which party conducted the audit and what is the frequency of such audit?	

5.18	Were there any findings and/or corrective actions that resulted from the most recent AML/CFT-related audit?	☐ Yes ☐ No
	If yes, please provide details of the audit findings.	
5.19	Does your institution have formal procedures in place to respond to Request for Information (“RFI”) from other entities (e.g. correspondent banks) in a timely manner?	☐ Yes ☐ No
5.20	Does your institution adhere to the Wolfsberg Group’s Payment Transparency Standards ² in relation to international payment message?	☐ Yes ☐ No

VI. Transaction Review

6.1	Please review the transactions conducted over the last year and respond accordingly. (Complete the Excel attached)	
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² Wolfsberg Group - Payment Transparency Standards
<https://wolfsberg-group.org/resources?type=publications&category=guide-principles-standards>

I confirm that the information provided in the above Questionnaire is current, accurate and representative of the AML/CFT policies and procedures that are established in my institution.

Name:	
Position:	
Tel.:	
Email:	
Signature:	
Date:	